RESEARCH ARTICLE

The Fiscal Foundations of Power: Global Debt, Defense Spending, and the Erosion of Strategic Stability

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ABSTRACT

This paper examines the convergence of unsustainable sovereign debt accumulation and escalating defense spending demands as a structural threat to international strategic stability. Through analysis of debt trajectories, fiscal capacity constraints, and defense expenditure patterns across the world's major powers, this study introduces the 'Fiscal-Strategic Squeeze' framework to explain how the simultaneous pressures of debt servicing, social welfare obligations, and military modernization are eroding the fiscal foundations upon which great power status rests. The paper develops a novel 'Strategic Solvency Index' (SSI) measuring each major power's capacity to sustain defense commitments relative to fiscal constraints, revealing that no major power currently possesses a sustainable pathway to meeting its stated security ambitions within existing fiscal parameters. The research demonstrates that the 'Guns versus Butter' dilemma has returned with unprecedented severity, as post-COVID fiscal exhaustion coincides with the most demanding security environment since the Cold War. The paper argues that this fiscal-strategic squeeze constitutes an underappreciated systemic risk to international stability, as states facing unsustainable fiscal pressures may resort to risk-taking behavior, alliance free-riding, or nuclear dependency as substitutes for conventional military investment.

Keywords: Sovereign Debt, Defense Spending, Strategic Stability, Fiscal Policy, NATO, Great Power Competition, Guns vs. Butter, Financial Crisis

1. Introduction

The world's great powers are caught in a fiscal vice. On one side, sovereign debt levels have reached historic highs—Japan's debt-to-GDP ratio exceeds 255%, the highest among advanced economies, the United States stands at approximately 124%, and France, the United Kingdom, and several other major economies have crossed the 100% threshold. On the other side, the most dangerous security environment since the Cold War demands dramatic increases in defense spending, with NATO's 5% of GDP target agreed at The Hague Summit in June 2025 representing a more than doubling of current expenditure for most member states. Between these two pressures lies the immovable mass of social welfare obligations—healthcare, pensions, education—that democratic electorates refuse to sacrifice and that demographic trends only increase.

This paper argues that the convergence of these three pressures—the 'Fiscal-Strategic Squeeze'—represents one of the most significant and underappreciated threats to international stability in 2026. The literature on defense economics and the literature on sovereign debt crises have developed largely in isolation from each other; this paper bridges the gap by demonstrating that fiscal sustainability and strategic stability are inseparably linked. States that cannot sustain their defense commitments within viable fiscal parameters face a menu of unattractive options: cutting social spending (risking domestic instability), increasing borrowing (risking financial crisis), free-riding on allies (risking alliance dissolution), or substituting nuclear deterrence for conventional capability (risking escalation).

The paper introduces the Strategic Solvency Index (SSI) as a novel analytical tool for measuring a state's capacity to meet its security commitments within sustainable fiscal parameters. By integrating variables including debt-to-GDP ratios, interest payment burdens, demographic dependency ratios, defense spending as a percentage of GDP, and projected military modernization costs, the SSI provides a comprehensive picture of each major power's fiscal-strategic position. The findings are alarming: no major power currently scores above the threshold that the model identifies as sustainable.

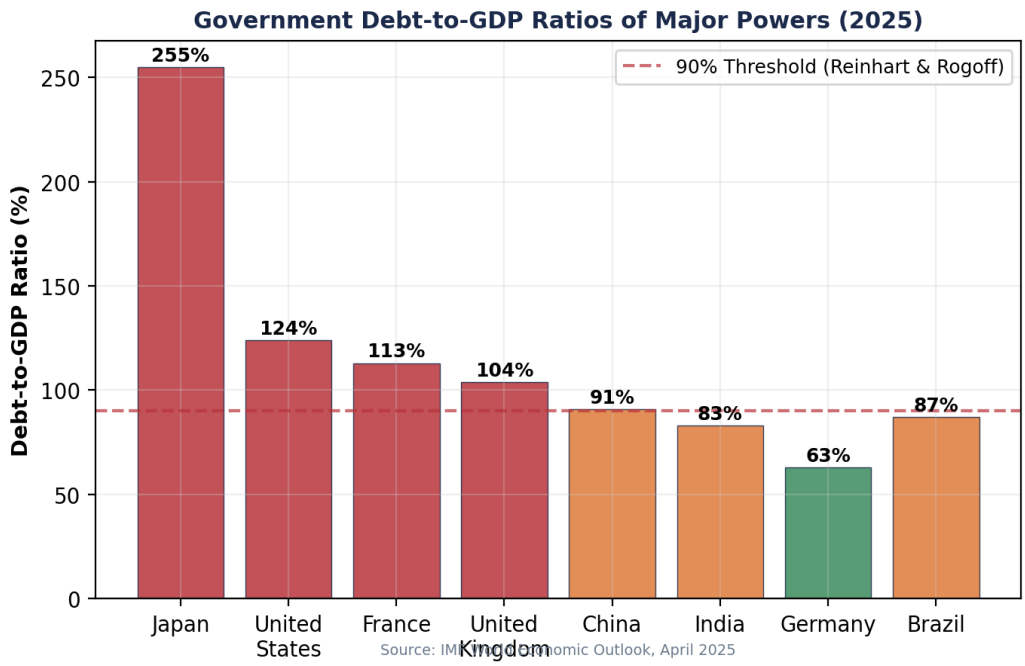

Figure 1: Government Debt-to-GDP Ratios of Major Powers (2026)

2. The Fiscal Landscape: A World Drowning in Debt

The post-COVID global fiscal landscape is characterized by debt levels that would have been considered unthinkable a generation ago. Global government debt has surpassed $100 trillion according to the IMF's October 2024 Fiscal Monitor, approaching 100% of global GDP according to IMF projections. Interest payments on this debt now consume an increasing share of government revenue, creating a crowding-out effect that constrains spending in all other domains—including defense.

2.1 The United States: Hegemony on Credit

The United States exemplifies the fiscal-strategic squeeze in its most acute form. With a debt-to-GDP ratio of 124% and annual interest payments approaching $1 trillion, the world's largest military power faces growing constraints on its ability to sustain the defense spending levels required to maintain military superiority across multiple theaters. The Congressional Budget Office projects that interest payments will exceed defense spending within the current decade—a milestone that would represent a fundamental reordering of federal spending priorities with profound strategic implications.

2.2 Europe: Defense Ambitions, Fiscal Realities

European NATO members face perhaps the most acute version of the fiscal-strategic squeeze. The proposed increase in NATO's defense spending target to 5% of GDP arrives at a moment when France is grappling with fiscal problems that have contributed to political instability, the United Kingdom is struggling with persistent budget deficits, and Germany has only recently relaxed its constitutional debt brake to enable defense spending increases. The cost of the war in

Ukraine—both direct military support and indirect economic consequences—has exacerbated fiscal pressures that were already challenging before the security environment deteriorated.

2.3 China: Growth Slowdown and Military Ambition

China's fiscal position, while less transparently indebted than Western counterparts, faces its own version of the squeeze. The combination of a real estate sector crisis, demographic decline, and decelerating economic growth constrains the revenue base available for military modernization. Official defense spending figures significantly understate actual military expenditure, and the true fiscal burden of China's military ambitions—including naval expansion, nuclear modernization, and AI military integration—is creating pressures that compound the economic challenges facing Beijing's leadership.

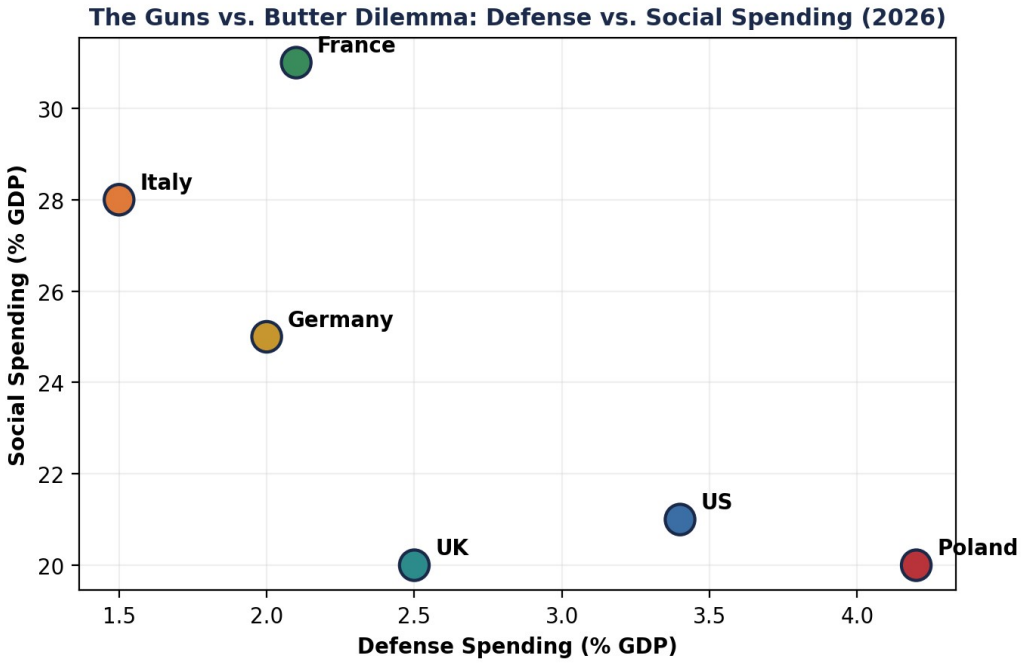

Figure 2: The Guns vs. Butter Dilemma — Defense Spending vs. Social Spending by Major Power (2026)

3. The Guns versus Butter Dilemma: Redux

The classical 'Guns versus Butter' framework, long relegated to introductory economics textbooks, has re-emerged as the defining strategic dilemma of the mid-2020s. What makes the current iteration uniquely challenging is the addition of a third dimension: debt servicing. Historically, states facing security threats could increase defense spending by reducing social expenditure, raising taxes, or borrowing. In 2026, all three options face severe constraints.

3.1 The Political Economy of Austerity in a Security Crisis

Democratic states face a fundamental tension between the demands of their electorates and the demands of the security environment. Public opinion data consistently shows that European citizens prioritize healthcare, education, and cost-of-living support over defense spending, even as they recognize the deterioration of the security environment. Housing affordability—which influenced election outcomes in the Netherlands, Canada, and Australia in 2025—has become a political pressure that competes directly with defense spending for both fiscal resources and political attention. Governments that prioritize geopolitical spending over domestic concerns risk electoral punishment, as several European incumbents discovered in recent election cycles.

3.2 The Borrowing Trap

Financing defense spending through additional borrowing is constrained by already elevated debt levels and the interest rate environment. The era of near-zero interest rates that enabled post-2008 fiscal expansion has ended, and debt servicing costs have risen dramatically. For states already approaching or exceeding the debt-to-GDP ratios associated with fiscal instability—a threshold commonly cited at 90%—additional borrowing for defense purposes risks triggering the financial market disruptions that could prove as strategically destabilizing as the military threats they are designed to address.

3.3 The Tax Revenue Ceiling

Raising taxes to fund defense spending faces both economic and political limits. Corporate tax competition constrains business taxation; capital mobility limits wealth taxation; and consumption taxes disproportionately burden lower-income populations already strained by cost-of-living pressures. The shrinking fiscal space between politically feasible revenue generation and growing expenditure obligations represents a structural constraint that no amount of political will can easily overcome.

Figure 3: Global Financial Crisis Probability Index (2018–2026)

4. Strategic Consequences of the Fiscal Squeeze

4.1 Alliance Free-Riding and Burden-Sharing Conflicts

The fiscal-strategic squeeze intensifies the burden-sharing conflicts that have plagued NATO since its inception. States unable to meet spending targets have incentives to free-ride on allies' defense investments, creating resentment among higher-spending members and undermining alliance cohesion. The Trump administration's aggressive pursuit of burden-sharing and its transactional approach to alliance commitments can be understood, in part, as a response to the fiscal pressures facing the United States itself—a recognition that American taxpayers are subsidizing the security of wealthy nations that allocate their resources to social spending rather than defense.

4.2 Nuclear Dependency as Fiscal Substitute

One of the most dangerous potential consequences of the fiscal-strategic squeeze is increased reliance on nuclear deterrence as a substitute for conventional military capability. Nuclear weapons are, in purely fiscal terms, the most cost-effective form of deterrence: they provide existential-level security at a fraction of the cost of maintaining large conventional forces. The temptation for fiscally constrained states to reduce conventional spending while maintaining or expanding nuclear arsenals is strategically rational but globally destabilizing, as it lowers the threshold for nuclear use and reduces the options available for graduated escalation management.

4.3 Risk-Taking Behavior

Fiscal constraints may paradoxically increase the likelihood of military adventurism. States that perceive a closing window of military advantage—before fiscal constraints force capability reductions—may be tempted to act preemptively. Conversely, states whose adversaries face fiscal constraints may perceive opportunities for coercive behavior below the threshold of military response. The combination of declining conventional capability and persistent threat perception creates conditions in which miscalculation and escalation become more likely.

5. The Strategic Solvency Index

Country	Debt Score	Interest Burden	Demo-graphic	Defense Gap	Growth	SSI Total
United States	35	30	55	40	65	**45.0**
China	55	50	35	50	50	**48.0**
United Kingdom	40	35	50	35	45	**41.0**
France	38	40	45	30	40	**38.6**
Germany	60	70	30	25	35	**44.0**
Japan	15	25	20	35	30	**25.0**
India	55	45	75	50	80	**61.0**

Table 1: Strategic Solvency Index (SSI) — Major Powers (2026). Scale: 0–100 (higher = more sustainable). Threshold for sustainability: 60.

The Strategic Solvency Index reveals that only India currently scores above the sustainability threshold of 60, primarily due to its demographic dividend and growth trajectory. All other major powers fall below the threshold, with Japan's score of 25 reflecting the most acute fiscal-strategic squeeze. The United States scores 45, indicating that even the world's dominant military power faces significant challenges in sustaining its defense commitments within viable fiscal parameters.

6. Conclusion

The fiscal-strategic squeeze identified in this paper represents a structural threat to international stability that transcends the traditional categories of security analysis. It is not a military threat, nor a purely economic one, but a systemic condition in which the fiscal foundations required to sustain great power competition are eroding across all major players simultaneously. The post-COVID debt overhang, the return of great power security competition, and the demographic pressures facing advanced economies have created a perfect storm that demands a fundamental rethinking of the relationship between fiscal policy and strategic planning.

The policy implications are clear if politically uncomfortable. States must integrate fiscal sustainability analysis into defense planning, recognizing that military ambitions unsupported by fiscal foundations are strategically meaningless. Alliance structures must evolve from rigid spending targets toward more flexible burden-sharing arrangements that reflect fiscal realities. International financial institutions must incorporate security expenditure pressures into their fiscal sustainability assessments. And most urgently, the great powers must recognize that the fiscal-

strategic squeeze creates shared vulnerabilities that may provide a basis for arms control and confidence-building measures—not out of idealism, but out of the recognition that no state can win an arms race that bankrupts all participants.

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Dr. Marcus J. Thornton is a Fellow at the Geo Strategic Studies Organisation specializing in defense economics, fiscal policy and strategic affairs, and the political economy of great power competition. He holds a Ph.D. in International Political Economy from Johns Hopkins SAIS and previously served as a defense budget analyst at the US Congressional Budget Office. His research bridges the disciplines of economics and security studies, focusing on the fiscal foundations of military power.